Sun Pharmaceutical Industries

SUNPHARMA

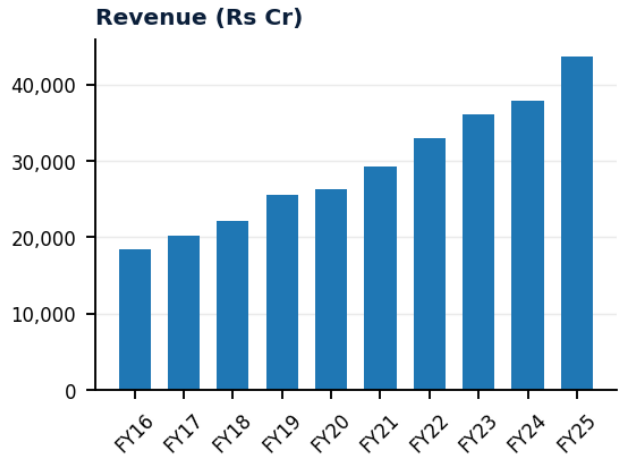
Sector: Pharma

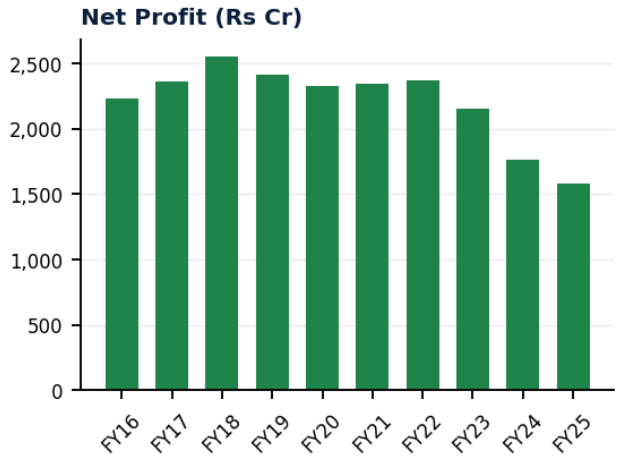
Key performance indicators (FY2025)

Revenue (Rs Cr)	Net Profit (Rs Cr)	Operating Margin (%)
43,713	1,578	6.8%

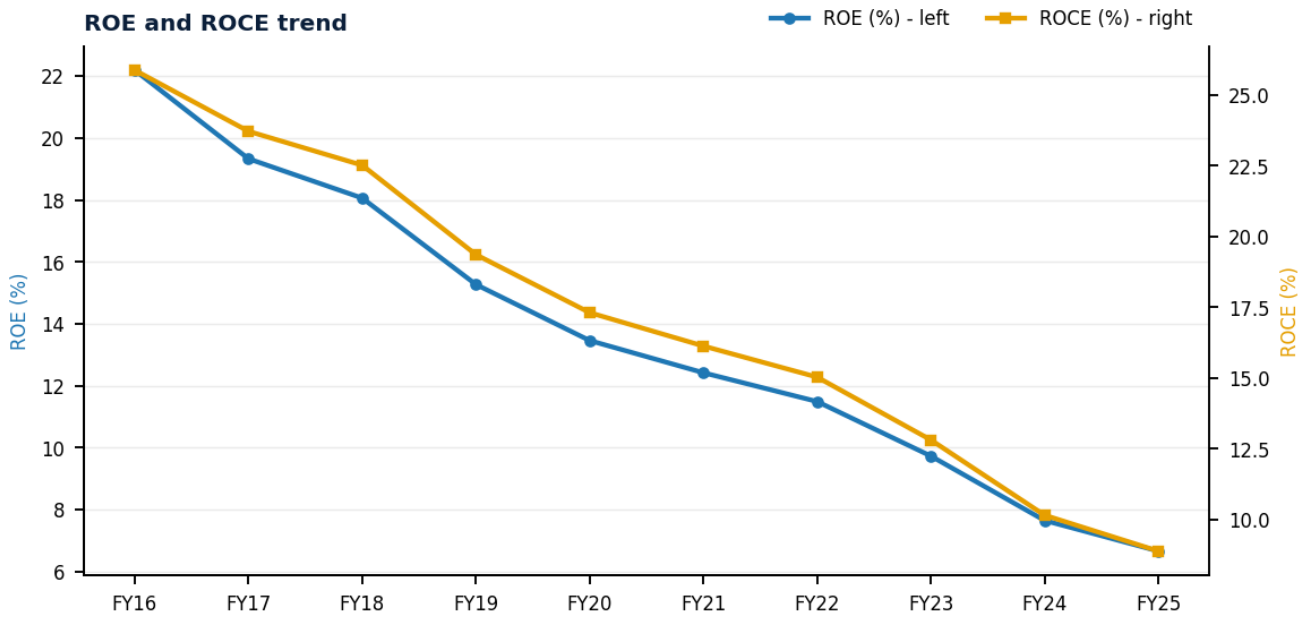
ROE (%)	ROCE (%)	Debt / Equity (x)
6.7%	8.9%	0.03x

10-year Revenue and Net Profit

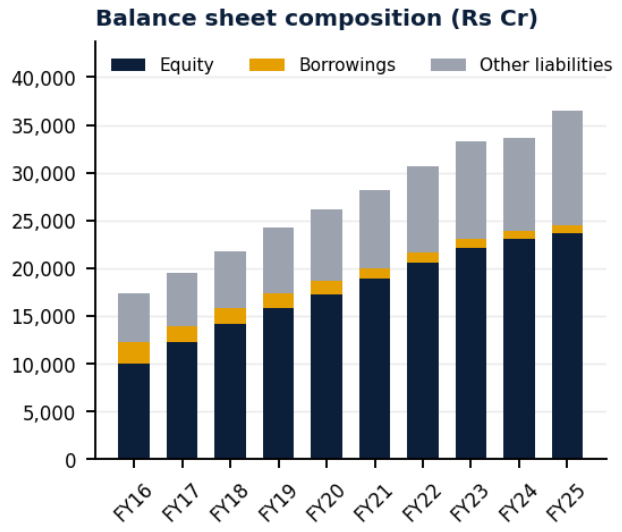


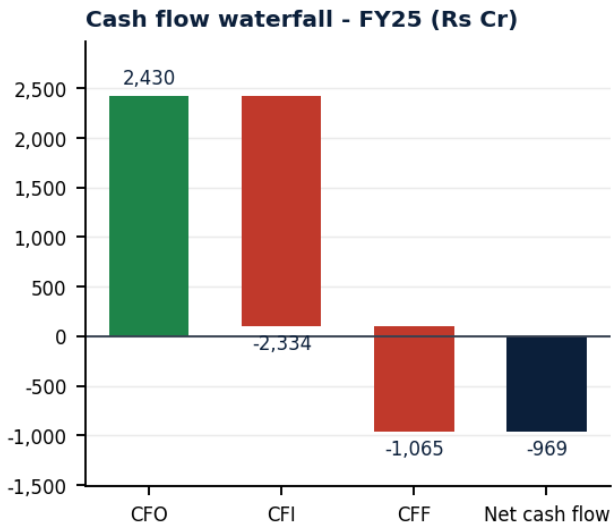


Return ratios (ROE and ROCE)



Balance sheet composition and cash flow





Pros - what the numbers favour

- Strong free cash flow generation over 5 years signals healthy business fundamentals (100%)
- Very high interest coverage ratio reflects negligible financial stress from debt servicing (88%)
- Growing asset base funded by internal accruals reflects self-sustaining growth (83%)

Cons - what to watch

- Earnings per share declining for 3 consecutive years reflects deteriorating profitability (100%)
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure (80%)
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (64%)

Capital allocation pattern (FY2025)

Reinvestor

Cash flow intelligence

CFO quality	CapEx intensity	Distress signal	Deleveraging
High Quality (1.80)	**Moderate (5.3%)**	**No**	**Yes - repaying debt**